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A House for All: H.T. Parekh and HDFC Limited

WHEN H.T. PAREKH RETIRED AS Executive Chairman of ICICI in December 1975 he was nearly sixty-five years old, but astonishingly his life's greatest work was still before him. Less than two years later, in October 1977, he set up HDFC—an institution which would provide long-term loans to individuals and institutions for housing. At the age of sixty-six when most people would be happy to retire, Parekh not only began his second career, but also realized one of his fondest dreams in the process. Institutions are a product of their times and closely mirror the economic environment of which they are an integral part. Visionary thinkers often transcend these limitations and are able to anticipate emerging patterns. H.T. Parekh, who invented retail finance for housing in India, was one such visionary.

A VISION BECOMES REALITY

Parekh had for long been emphasizing the necessity of an institutional structure which could provide long-term finance as housing loans to common people to enable them to own their homes. In developing countries, people build up their savings during their working life and then use such funds to build or purchase a house. Thus most people become house owners only after or when on the verge of retirement. Parekh noticed that in Western countries, it was possible for people to own a home at the beginning of their working careers by borrowing from specialized agencies —Building Societies in the UK and Savings and Loan Associations in the US. These specialized institutions were essentially banks, but with the